

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST A

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Information Management is defined as: (True/False)

One of the 6 business functions. People, processes, and systems that collect, organize, store, and secure relevant data and information, and make it accessible and usable to make informed decisions.

TRUE FALSE

MATCH the FOLLOWING Information Management terms:

- Trade Secrets
- Intangible Assets
- Intellectual Property

2) _____: Ideas, inventions, methods

3) _____: Not known outside of the company, with "economic value"

4) _____: Of value, but not physical

5) Tell me 2 of the 3 things Information Management involves:

_____ and _____

6) Information Management ORGANIZES and STORES information. Choose one and explain how:

Organizes or stores: _____

Explanation: _____

7) Information Management makes data accessible and usable to make _____ decisions.

8) TRUE / FALSE _____ Raw data is info/data before it becomes useful information. Example: 100 people attended a movie premiere.

9) TRUE / FALSE _____ Relevant data is defined as:
Info/data before it becomes useful information.

***Of the INFORMATION MANAGEMENT terms, fill in the FOLLOWING:**

10) _____ : audits, safety, integrity, accuracy

11) _____ : protects sensitive info and trade secrets, and stops ransom attacks

*** Match the following:**

Operations

COGS

Gross Profit

Gross Margin %

12) _____ : Cost of goods sold: material, labor, rubber, glue

13) _____ : The daily functioning of an organization; where the execution of strategy happens

14) _____ : Sales revenue - COGS ($\$20 - \$8 = \$12$)

15) _____ : Gross profit expressed as a %, the same as "gross profit margin" ($\$12 / \$20 = 60\%$)

16) TRUE / FALSE _____ The industry standard gross profit margin for manufacturers is 25-35%.

17) TRUE / FALSE _____ When COGS goes up, gross profit goes up.

18) Fill in: a company/business CHOOSES its business _____

***Match the following:**

- D2C
- Bricks + Clicks
- Brick + Mortar
- Nickel + Dime
- MLM

19) Direct to Consumer: selling directly to the customer, no middlemen (Tesla).

Correct answer: _____

20) A physical store where customers can also order online for pickup or delivery (Target, Walmart).

Correct answer: _____

21) A physical store only, with street-side locations (a local hardware store).

Correct answer: _____

22) Buy cheap, sell cheap (Dollar Tree, low-cost airlines).

Correct answer: _____

23) Multi-level marketing: sellers earn money from their own sales and from recruiting others (Mary Kay).

Correct answer: _____

24) Direct competition offers the same product/service, like Target vs. Walmart.
TRUE FALSE

25) Bus vs. plane is an example of which type of competition?

- A) Direct
- B) Monopoly
- C) Indirect
- D) Oligopoly

26) Which of the following is an EFFECT of competition?

- A) Higher taxes
- B) Fewer choices
- C) Unlimited liability
- D) Jobs for the economy

*** MATCH THE FOLLOWING:**

- Trend
- Business Trend
- A.I.
- Machine Learning
- Gig Economy

27) _____ : A general change or movement, a prevailing tendency, a current style or preference (fashion)

28) _____ : A general change in the way business develops (technology!)

29) _____ : A computer program/machine that thinks and learns like humans

30) _____ : The way of achieving A.I.: it receives info and makes a decision (face recognition, GPS)

31) _____ : Contract workers who work for multiple companies, often remote (Uber, Lyft, dog walker)

32) TRUE / FALSE _____ Liability is the legal responsibility of an individual/entity for 1) actions 2) debt 3) obligations.

33) TRUE / FALSE _____ A sole proprietor has limited liability.

34) What is Information Management? Tell me how it helps a business manage its information. (2 points)

35) Name the 3 areas where business ownership varies. (3 points)

1. _____
2. _____
3. _____

36) GROSS PROFIT EQUATION: Aliyah's Candles sells a candle to Jimmy's Candle Store for \$8. Jimmy's sells it for \$20. Find the gross profit and the gross margin %. (2 points)

Gross profit: _____

Gross margin %: _____

MATCH and EXPLAIN WITH EXAMPLE:

- C Corporation
- S Corporation
- B Corporation

37)_____ double taxation: the company pays tax on profits and the shareholders pay too (2 points)

Explanation: _____

38)_____ taxes "pass thru" to the shareholders, who file on their personal tax returns (2 points)

Explanation: _____

39)_____ public benefit: helps social/environmental causes, "balance profit + benefit" (2 points)

Explanation: _____

40) Name 4 of the SIX effects of competition. (4 points)

1. _____
2. _____
3. _____
4. _____

ANSWER KEY: PRACTICE TEST A

Questions 1-33 are 1 point each. 34-40 are worth 17 points. Total: 50 points.

- 1) **TRUE.** That is the definition, straight from the board.
- 2) **Intellectual Property.** Intellectual property: ideas, inventions, methods.
- 3) **Trade Secrets.** Trade secrets are not known outside the company and have economic value.
- 4) **Intangible Assets.** Intangible assets have value but are not physical.
- 5) **Any 2 of: people, processes, systems.** IM is people, processes and systems.
- 6) **Organizes: search, retrieve, archive. Stores: databases, servers, hard drives, clouds.**
- 7) **informed.** Informed decisions. Starred on the board.
- 8) **TRUE.** Raw data isn't useful yet.
- 9) **FALSE.** That is raw data. Relevant data is only the useful data, collected and stored to make decisions.
- 10) **Risk Management.** Risk management: audits, safety, integrity, accuracy.
- 11) **Cyber Security.** Cyber security protects sensitive info and trade secrets.
- 12) **COGS.** COGS = cost of goods sold.
- 13) **Operations.** Operations: the day to day, where the execution of strategy happens.
- 14) **Gross Profit.** Gross profit = sales revenue - COGS.
- 15) **Gross Margin %.** Gross margin % = gross profit / sales price.
- 16) **TRUE.** Tech companies are 70%.
- 17) **FALSE.** COGS up means gross profit and gross margin % go down.
- 18) **Model.** A company chooses its business model.
- 19) **D2C.** D2C = direct to consumer.
- 20) **Bricks + Clicks.** Bricks + clicks: stores plus online ordering.
- 21) **Brick + Mortar.** Brick + mortar is the physical store alone.
- 22) **Nickel + Dime.** Nickel + dime: buy cheap, sell cheap.
- 23) **MLM.** MLM = multi-level marketing.
- 24) **TRUE.** Direct means the same product or service.
- 25) **C) Indirect.** Indirect: not the same product, but it satisfies the same need (getting there).
- 26) **D) Jobs for the economy.** Effects of competition: pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer.
- 27) **Trend.**
- 28) **Business Trend.** Business trend: the way business develops.
- 29) **A.I.**
- 30) **Machine Learning.**
- 31) **Gig Economy.**
- 32) **TRUE.** That is the definition on the board.
- 33) **FALSE.** A sole proprietor has unlimited liability: they are personally responsible for debts and obligations.
- 34) **(2 points)** Information Management is one of the 6 business functions. It uses people, processes and systems to collect, organize, store and secure relevant data and information, and makes it accessible and usable so the business can make informed decisions.
 - 1 point: one of the 6 business functions: people, processes, and systems that collect, organize, store, and secure relevant data and info.
 - 1 point: it makes the data accessible and usable to make informed decisions.
- 35) **(3 points)** Taxes, liability, decision making.

- 1 point each: taxes, liability, decision making.

36) (2 points) Gross profit \$12; gross margin 60%.

- 1 point: gross profit = $\$20 - \$8 = \$12$.
- 1 point: gross margin % = $\$12 / \$20 = 60\%$.

37) C Corporation. C corporation: double taxation. Cracker Barrel, Amazon, Ford.

- 1 point: C Corporation.
- 1 point: an example: Cracker Barrel, Amazon, or Ford.

38) S Corporation. S corporation: pass-through taxes, 100 shareholders who are U.S. citizens. Small businesses like pizza or coffee shops.

- 1 point: S Corporation.
- 1 point: an example: a small business like a pizza or coffee shop (100 shareholders, U.S. citizens).

39) B Corporation. B corporation: balances profit and benefit. Ben & Jerry's, Patagonia.

- 1 point: B Corporation.
- 1 point: an example: Ben & Jerry's or Patagonia.

40) (4 points) Pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer (society benefits).

- 1 point each, any 4 of: pricing control, choice/variety, innovation (new products/technology), quality (improvements), the economy (jobs), the consumer (society benefits).